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POLICY NUMBER: FP-OPSFIN-103

FF&E Reserve Management

This policy includes guidelines for the management of FF&E reserves.

POLICY STATEMENT

The Furniture, Fixtures, & Equipment (FF&E) Reserve or ‘replacement reserve’ refers to funds set aside for the periodic replacement of building components that wear out more rapidly than the building itself.

APPLICABILITY

All Owned & Operated Hotels (including Shared Service Centers supporting these hotels).

EXCLUSIONS/EXCEPTIONS

No exclusions.

FF&E RESERVE MANAGEMENT

This policy is intended to contain supplementary instructions and guidance and should never supersede the Management or Lease Agreement. Any potential conflicts with the Management or Lease Agreement must be brought to the attention of the Regional Finance Director and/or VP of Operations Finance immediately.

- 1) Monthly, the Finance Leader must ensure that all FF&E reserve purchases are accounted for, all relevant entries are booked to the GL, and applicable FF&E reserve accounts are funded per the Management or Lease Agreement.
- 2) All FF&E purchases must be made in accordance with FP-OPSFIN-146 Hotel Operations Contract Execution and Spending Policy.
- 3) The property must maintain a register or listing of all FF&E reserve purchases.
- 4) If the Management or Lease Agreement requires establishing a dedicated FF&E bank account, then the FF&E reserve liability and the FF&E reserve bank account must never be in a deficit position.
- 5) No alternative use of the FF&E reserve funds are permitted, even when instructed by Ownership without notification to and evidence of approval from the Regional Finance Director and/or VP of Operations Finance, Operations Area Vice President, Hilton Asset Management, and Owner Relations.
- 6) No loans or distributions to any party, including Ownership, can occur without notification to and evidence of approval from the Regional Finance Director and/or VP of Operations Finance, Operations Area Vice President, Hilton Asset Management, and Owner Relations.
- 7) As a best practice, the property should consider completing a monthly cash flow forecast for the FF&E reserve.

DEFINITIONS

TERM/ACRONYM	DEFINITION
Finance Leader	Ranking Accounting / Finance representative for the property (i.e., DOF, Controller, or Finance Manager).
Regional Finance Director	Regional Team Member responsible for the Accounting/Finance functions of a set of Hotels. Property Finance Leader has a direct or indirect reporting relationship to this individual.